

Meridian Actuarial Advisors LLC

www.meridianactuarial.com

July 15, 2024

James Garcia
Chief Financial Officer
Gonzalez, Campbell and Kelly

Dear Mr. Garcia:

This letter sets out the terms on which we will carry out a reinsurance pricing review for Gonzalez, Campbell and Kelly, and it asks for your signature so that we can begin. It follows our conversations this spring about taking a fresh look at the pricing behind your ceded program. Nothing here should catch you by surprise. It puts in writing what we discussed, so that you and we work from one record for the length of the engagement. We have set out what we will do, how we will do it, who will do the work, and what it will cost.

What We Have Been Asked to Do

You have asked us to review the pricing of the reinsurance you cede and to tell you where it stands against the risk it covers. The work has three parts, and the report will keep them apart. (1) We take in the treaty terms and the cession, premium, and loss data your staff provide, reconcile them, and state plainly what we have relied on. (2) We measure the experience those records show and set it against the pricing now in force, treaty by treaty. (3) We give you our conclusions on where the pricing is adequate, where it is thin, and where the data do not yet let us say. We will not call a rate inadequate where the experience does not support the finding, and we will tell you plainly when that is the case.

How We Will Approach It

We work this the way we work every engagement, and it is worth saying outright. What the data show, what we have assumed, and what we conclude are three separate things, and they stay separate on the page. A conclusion about a treaty's pricing will name the experience under it and the judgment we brought to it, and it will never dress one up as the other. The work will be performed under the Actuarial Standards of Practice that govern a pricing review of this kind, and the report will be written to be read by the people who have to act on it, not only by another actuary.

The Records We Will Rely On

The review rests on the records your office keeps, so it is worth setting out what we will need. We will ask for the treaty documents, the cession and premium registers, and the loss history over the period under review. We reconcile those records against each other and against your own summaries before a single rate is measured, and we state that reliance plainly in the report. We do not audit what you send us; we check it for internal consistency and document what we relied on, so the basis of the work is visible to anyone who reads it. Where the loss data and the premium data do not tie, we resolve the difference with your staff rather than paper over it, because a review built on a figure we could not explain is not worth delivering.

Who Will Do the Work

Michelle Banks will handle the intake of your treaty and cession data and the first calculations off it. Karen Harris will build the exhibits and the assumption tables the pricing rests on. I will review what they produce and sign the result. The professional responsibility for what we conclude is mine, and I take it seriously enough to send a draft back until the qualifications are right.

Our Fee and the Start of Work

Our fee for the review is \$42,000, which covers the work described above through delivery of the report and one presentation of the results to your team. Subject to your signature on this letter, we will begin the work on July 25, 2024. Our first step is to request the treaty documents and the data behind them and to confirm the program as it stands today. If the scope grows beyond what is set out here, we will agree the change and any added fee with you in writing before we do the added work, so that no invoice ever arrives for something you did not expect.

Invoicing and Payment

We bill monthly, in arrears, for the prior month's work, and each invoice falls due within thirty days of its date. If something on an invoice looks wrong to you, raise it and we will work it out before it turns into a dispute.

Term and Termination

This agreement begins on the day you sign it and continues until we have delivered the review and you have settled our final invoice for it. Either of us may end it sooner by written notice to the other. Should the engagement stop before the review

is complete, you will owe us for the work performed to that point, and we will turn over what we have in a form you can use.

Confidentiality

What you share with us stays in confidence and is used only for this review. Within the firm, access is limited to the people named above and to anyone whose work on the review requires it. We will not release your information outside the firm without your consent, except where the law or our professional standards require it, and if that happens we will tell you unless we are barred from doing so.

Limitation of Liability

Our liability to you arising out of this engagement, whether the claim sounds in contract or in negligence, will not exceed the total fees you pay us under it, other than in the case of our fraud or willful misconduct. Neither of us will be liable to the other for indirect or consequential loss. Any claim must be brought within one year after we deliver the report.

Governing Law

This agreement is governed by the law of the state in which our office sits, without regard to its conflict-of-laws rules. Before either of us starts a proceeding, we will try to settle the matter through discussion between people who have the authority to resolve it.

If these terms match your understanding, please sign both copies where shown, keep one for your records, and return the other to me. If anything here reads differently from what you expected, call me before you sign and we will settle it first. We are glad to take on this work, and we will give it the care it deserves.

Sincerely,

Robert Lawrence

Managing Actuary

Date: July 15, 2024

James Garcia

Chief Financial Officer, Gonzalez, Campbell and Kelly

Date: July 15, 2024